

Neighbours **NEPAL**

Himalayan OVERTURE

Haunted by fears of a Maoist revival and the spectre of political instability, Nepal's prime minister comes calling

| By Saurabh Shukla |

In the long winding corridors of Hyderabad House, India's premier venue for high table diplomacy, Prime Minister Manmohan Singh played host to a friend of India, Nepal's new Prime Minister Madhav Kumar Nepal, who touched down for a five-day visit on August 18 to win some much-needed public backing for his wobbly coalition Government. Even though Nepal may be fretting about its empty casinos with tourism—the country's economic driver—being badly hit, India's 'Nepal' gamble needs ample political investment by South Block if it wants the turbulent neighbour to overcome its political crisis.

Even after the goodwill visit, concerns have only grown that the peace process in the Himalayan nation may be sabotaged by the Maoists led by Prachanda who was deposed as prime minister just two months ago and is now threatening to topple the new Government. Madhav, a former deputy prime minister who now occupies the premier's chair, is no political greenhorn. The United Marxist Leninist party leader needs India's unqualified support as he tries to bring some cohesion to his loosely bandaged 22-party coalition that has 350 members in the Constituent Assembly of 601 members. He became a consensus candidate after Prachanda's downfall but still has to tackle his coalition blues. His Foreign Minister Sujata Koirala, who

prepared the ground for his India visit, pulled out of his delegation at the last moment, sulking over not being made the deputy prime minister. Meanwhile, the Maoists who control 238 members in the Constituent Assembly, are holding his Government to ransom. Besides, the vexed issue of integrating Maoist combatants into the Nepal Army is also hanging fire and may be a potential time bomb for the shaky government.

While Madhav has sought support from India to increase investment and liberalise trade, he also told his Indian interlocutors that for now the most important step was to ensure that the three-year-old peace process is on track. The constitution drafting exercise should be completed by May 2010, following which the country will elect its first government under a new constitutional democracy. For India, which shares a 1,900-km open border with Nepal, there are enormous strategic stakes. While the country is a buffer between India and China, New Delhi has been concerned at the growing Chinese influence in the country, which sharply expanded under Prachanda, who actively played the China card. The other concern is terrorist groups and Pakistan's intelligence agency ISI using Nepal as a launching ground for exporting terror and fake currency into India.

Though Madhav has promised to address India's concerns, the big worry is whether he can deliver on them. The extradition treaty India has been pushing for has been put on the



MANMOHAN SINGH WITH MADHAV NEPAL

backburner, and efforts to resume arms supplies to the Nepal Army have been put on hold. With a crumbling economy, Nepal needs to create economic interdependency by having mega infrastructure projects, especially in the hydropower sector, apart from bridging the trade deficit in the \$2.46-billion bilateral trade between the two countries.

While India should actively assist the task of political recovery by helping Nepal's political coalition, it needs a carrot-and-stick approach